

Profit Niti – AI Report (2025-04-01 / 2026-01-31)

Last Month KPI Data (January 2026)



Sales
1,296,797

-10% Last month 1,442,453



Gross Margin
1,199,031

-13% Last month 1,380,764



Operating Profit
954,917

63% Last month 585,165



Break Even Sales
264,021

-68% Last month 831,173



Accounts Receivable
5,003,309

14% Last month 4,403,065



Accounts Payable
87,615

-49% Last month 173,372



Working Capital
4,915,694

16% Last month 4,231,968



Closing Stock
0

-100% Last month 2,275



Bs Category
61 - STEADY

-8% Last month 66 - STEADY



Impact Of Decisions
-320,384

-738% Last month 50,204

1. Big Picture — How the Business Looks Right Now

The business has grown its total equity and liabilities from ₹1.13 crore in April 2025 to ₹1.76 crore in January 2026. Profitability has been volatile, with a net profit of ₹9.55 lakh in January 2026 following a loss of ₹78,451 in October 2025. The company's cash position strengthened significantly, with cash and bank balances reaching ₹50.16 lakh in January 2026.

GREEN FLAG BOX — What's Working Well

- Exceptional profitability in January 2026 with a Net Profit % of 73.64% and Operating Profit % of 73.64%.
- Strong liquidity position with a Current Ratio of 32.8 and a Cash and Bank balance of ₹50.16 lakh in January 2026.
- High Return on Equity of 333.27% in January 2026, indicating efficient use of shareholder funds.

RED FLAG BOX — What Needs Attention

- Negative net profit of ₹78,451 in October 2025, with an Operating Profit % of -6.53%.
- High Accounts Receivable Days of 117.35 in January 2026, indicating slow collection from debtors.
- Significant increase in Unsecured Long-term Borrowings to ₹1.24 crore in January 2026, raising the total debt burden.

Strategic Advice:

Prioritize tightening the credit and collection policy to reduce the high debtor days and improve cash flow consistency. The recent surge in unsecured borrowing requires a clear plan for deployment and repayment to avoid straining future profitability.

2. Profit Power — The Earning Engine

The company's profitability has been variable, with a net profit of ₹1.33 lakh in April 2025, peaking at ₹8.15 lakh in July 2025, and experiencing a loss of ₹78,451 in October 2025. The most recent month, January 2026, shows a strong recovery with a net profit of ₹9.55 lakh.

Gross margins are consistently high, ranging from 88.89% in June 2025 to 97.85% in September 2025, indicating a low cost of goods sold relative to sales. However, operating expenses, particularly employee benefits and administrative costs, significantly impact the bottom line, as seen in months like October 2025 where high expenses contributed to the loss.

The primary profit driver is sales revenue, which fluctuated between ₹12.02 lakh in October 2025 and ₹18.52 lakh in July 2025. The operating profit margin followed a similar pattern, from -6.53% in October 2025 to a high of 73.64% in January 2026, showing the business's sensitivity to sales volume and cost control.

Strategic Advice:

To stabilise profitability, focus on controlling the variable overhead expenses that led to the October loss. Given the high gross margins, strategic efforts should be directed towards consistently achieving higher sales volumes, like those in July 2025, to maximise the earning potential of your core operations.

3. Cash Flow Quality — Profit vs Real Cash

Your business generated a net profit of ₹9.55 lakh in January 2026, yet the cash flow from operating activity was negative ₹6.84 lakh. This indicates a significant gap between accounting profit and actual cash generation.

The primary blockage is in working capital. In January 2026, debtor days were high at 117.35 days, meaning cash is tied up in receivables. Conversely, creditor days were low at 27.26 days, requiring faster payments to vendors.

The cash flow statement shows financing activity provided ₹46.58 lakh in January 2026, which was used to build a cash balance of ₹50.16 lakh. This suggests operational cash needs are being met through external funding rather than internal accruals.

Strategic Advice:

Prioritise reducing your accounts receivable collection period from over 117 days to improve cash conversion. Simultaneously, negotiate better payment terms with suppliers to align outflows with your cash inflow cycle.

4. Cash Management — Daily Cash Rhythm

Your Accounts Receivable Days have increased from 87.42 days in April 2025 to 117.35 days in January 2026. Inventory Days have fluctuated, starting at 0.3 days in April 2025 and ending at 0 days in January 2026. Accounts Payable Days have decreased significantly from 219.55 days in April 2025 to 27.26 days in

January 2026.

The Working Capital Days show a volatile cash conversion cycle, starting at -131.83 days in April 2025 and moving to 90.09 days in January 2026. Your Cash and Bank Balances ended the period at ₹50.16 lakh in January 2026, up from ₹18.94 lakh in April 2025.

Strategic Advice:

The significant increase in debtor days to over 117 days is a major cash flow risk. You must implement stricter credit control and follow-up procedures to accelerate collections from customers.

5. Growth Investments — Where Money Is Going

Your investment in Fixed Assets has grown from ₹45.75 lakh in April to ₹49.83 lakh in January. Non-current Investments were initiated in November at ₹1.53 lakh and stood at ₹52,678 in January. The Other Capital base expanded from ₹53.20 lakh to ₹72.44 lakh over the period.

The Return on Capital Employed has been volatile, reaching a high of 80.29% in July, a low of -7.73% in October, and was 78.53% in January. Similarly, Return on Total Assets was 54.39% in January, while Return on Equity was exceptionally high at 333.27% for the same month.

Asset Turnover has gradually declined from 1.56 in April to 1.07 in January. The proportion of Net Operating Assets to total funding is high, at 93.77% in January.

Strategic Advice:

The consistent capital expenditure in fixed assets and other capital is building a strong operational base. However, the declining asset turnover suggests these assets are not yet generating sales proportionately. Focus on improving utilisation to drive revenue from this expanded capacity. The exceptionally high Return on Equity is positive but should be evaluated for sustainability alongside the increased debt in January.

6. Funding Story — How Growth Is Being Financed

The company's growth is primarily financed through debt. Total Debt increased from ₹97.16 lakh in April 2025 to ₹1.37 crore in January 2026. Unsecured Long-term Borrowings rose significantly, from ₹77.48 lakh to ₹1.24 crore over the same period.

Equity funding has also grown, with Total Equity rising from ₹4.98 lakh to ₹34.38 lakh. This was driven by an increase in Reserve & Surplus from ₹2.14 lakh to ₹23.32 lakh and Current Year Profit, which was ₹9.55 lakh in January 2026.

The Debt to Equity ratio was 19.53 in April 2025 and improved to 4.00 by January 2026. The Debt to Capital ratio remained high, moving from 0.95 to 0.80. There were no recorded Interest & Bank Charges in any month.

Cash flow from Financing Activity was a major source of funds, with an inflow of ₹94.69 lakh in April 2025 and ₹46.58 lakh in January 2026. This was primarily driven by Borrowings, which contributed ₹97.16 lakh in April and ₹46.34 lakh in January.

Strategic Advice:

The business is heavily reliant on debt, particularly unsecured loans. While the Debt to Equity ratio has improved, the overall debt burden remains high. Prioritise converting a portion of debt to equity to strengthen the balance sheet and reduce financial risk. Explore formal credit lines to replace high-cost unsecured borrowings.

7. Balance Sheet Health — Financial Fitness

Your total equity stood at ₹4.98 lakh in April 2025 and grew to ₹34.38 lakh by January 2026. The Reserve & Surplus increased from ₹2.14 lakh to ₹23.32 lakh over the same period.

Total liabilities were ₹1.08 crore in April 2025 and ₹1.41 crore in January 2026. This includes a significant increase in Unsecured Long-term Borrowings, which rose from ₹77.48 lakh to ₹1.24 crore.

The company maintains a strong liquidity position. The Current Ratio improved from 6.2 in April to 32.8 in January. The Quick Ratio followed a similar trend, moving from 6.19 to 32.8.

Your Debt to Equity ratio was 19.53 in April 2025 and reduced to 4 by January 2026. The Return on Equity was 320.43% in April and 333.27% in January.

Strategic Advice:

While equity and liquidity are strong, monitor the sharp rise in unsecured debt. The high current ratio indicates potential underutilization of short-term assets.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the company maintains the January 2026 Net Profit % of 73.64% and reduces the October 2025 loss of ₹78,451, the annual profit could improve by over ₹9.55 lakh.
- **Scenario B - Cash Focus:** If the company reduces Accounts Receivable Days from 117.35 (Jan 2026) to 80 days and improves Operating Cash Flow from ₹2.71 lakh (Jan 2026), it could release over ₹50.16 lakh in trapped cash.
- **Scenario C - Balanced:** A combined strategy of maintaining a Current Ratio of 32.8 (Jan 2026) while controlling Overheads at 18.82% (Jan 2026) could strengthen the balance sheet and sustain high Return on Equity of 333.27% (Jan 2026).

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Dynamics: Monthly sales turnover fluctuated between ₹12.02 lakh and ₹18.52 lakh. The sales register shows a peak of ₹21.86 lakh in July 2025, supported by 1063 invoices, indicating high-volume, low-value transactions typical in electronics manufacturing.

Procurement & Vendor Management: Monthly purchases ranged from ₹2.11 lakh to ₹4.99 lakh. Accounts Payable Days varied significantly, from a high of 457.6 days in May 2025 to a low of 27.26 days in January 2026, reflecting changing vendor payment cycles.

Inventory & Production: Closing stock was minimal, at ₹1,000 or less for most months, with zero stock in November 2025 and January 2026. Inventory Days remained under 1.12 days, indicating a lean, just-in-time inventory model.

Working Capital & Cash Flow: Working Capital ranged from ₹30.00 lakh to ₹49.16 lakh. The Current Ratio was strong, improving from 6.2 in April 2025 to 32.8 in January 2026, showing excellent short-term liquidity.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Accelerate collection of receivables, which stood at ₹50.03 lakh in Jan 2026. Review and reduce the suspense account balance of ₹11.51 lakh.	Reduce Accounts Receivable Days from 117.35 days to below 90 days.	Improve immediate cash availability and strengthen the current ratio, which is 32.8.
31-60	Profit	Analyse and control overheads, which were ₹2.44 lakh in Jan 2026 but peaked at ₹12.66 lakh in Sep 2025. Focus on optimising Employee Benefit and SG&A expenses.	Sustain Net Profit % above 70%, as achieved in January 2026 (73.64%).	Enhance bottom-line consistency and improve Return on Equity, which was 333.27% in Jan 2026.
61-90	Growth	Utilise strong cash balance (₹50.16 lakh in Jan 2026) and reduced debt (Secured Borrowings at ₹13.28 lakh) to fund strategic capital expenditure or business development.	Increase monthly sales from the recent level of ~₹12.97 lakh (Jan 2026) towards the peak of ₹18.52 lakh (July 2025).	Drive revenue growth while maintaining healthy profitability and a strong asset base (Total Assets: ₹1.76 crore).